Application in Action

Using the media article 'Reserve Bank poised to reverse its rate 'mistake'' article by Shane Wright (SMH, 11th August 2025)

Question used for application:

"Analyse the use of monetary policy on the achievement of economic objectives" (adapted from Q28, 2014 Mohannah Trial)

Quote from Article	Syllabus Concept	Example Application in Context
"Delivering a $100 a month saving to Australians with a $600,000 mortgage."	Monetary policy – transmission mechanism (household sector)	By lowering interest rates, the RBA increases household disposable income, as seen with $100 monthly savings for a $600,000 mortgage. This stimulates consumption, lifting aggregate demand, and supports the objective of **economic growth** and indirectly **full employment** through increased business activity.
"Markets put the chance of a cut at 100 per cent… first ever open split within the bank on rate settings."	Independence and decision-making of the RBA	The RBA's independence allows it to base decisions on data rather than market pressure, ensuring monetary policy remains focused on long-term **price stability** and sustainable **economic growth**, even if it delays immediate stimulus.
"Headline inflation, at 2.1 per cent, fell to its lowest level since early 2021."	Price stability – inflation within target band	Inflation at 2.1% gives the RBA room to adopt an expansionary stance to support **economic growth** and **employment** without risking a breach of its **price stability** objective.
"Unemployment… rose to a three-year high of 4.3 per cent. Job creation… effectively flat."	Macroeconomic objectives – full employment	Rising unemployment signals underutilised labour resources. Monetary easing aims to stimulate demand, encouraging hiring and helping to achieve **full employment** while maintaining balanced **economic growth**.
"Economic data… all pointed to a loosening of monetary policy this week."	Data-driven policy decisions	The RBA adjusts interest rates based on inflation, unemployment, and growth data to balance the achievement of **price stability**, **full employment**, and **sustainable growth**, illustrating its targeted use of monetary policy.
"We expect a total of 100 basis points in this cycle… cash rate settles at 2.85 per cent."	Medium-term monetary policy stance	A planned 1% cut over the easing cycle aims to sustain **economic growth** and **employment** in the medium term while keeping inflation within the target range, showing a deliberate balance between multiple objectives.

"One of the concerns… is whether interest rate cuts would fuel… consumer spending."	Inflationary pressures – demand-pull inflation risk	While cuts stimulate demand and employment, they can risk breaching **price stability** if spending-driven inflation rises too quickly, requiring careful timing and scale of policy adjustments.
"Despite rate cuts in February and May, household spending had not materially changed from its levels in late 2024."	Effectiveness of monetary policy – time lags	This shows the delayed impact of monetary policy on achieving **economic growth** and **full employment**, as consumers may take time to adjust spending habits after rate cuts.
"Consumers have been crimped by inflation, the burden of personal income tax and higher interest rates…"	Interaction of macroeconomic policies	Monetary easing may be less effective if fiscal policy (taxation) and past monetary tightening still restrict household spending, slowing progress towards **economic growth** and **employment** objectives.
"Australian household disposable income… rose by 1.8 per cent… returning households to where they were in late 2019."	Economic growth – real income changes	A 1.8% increase in disposable income improves capacity for consumption, aiding **economic growth**. However, the limited recovery since 2019 shows monetary policy's challenge in fully restoring pre-shock living standards.
"Only Poland, Canada, Britain and the Netherlands enjoyed a bigger lift… while households in Greece, Chile and Sweden went backwards."	Comparative performance in the global economy	Australia's relatively strong income growth suggests that monetary policy, alongside other measures, has been effective in supporting **economic growth** and mitigating downturn impacts compared to other nations.
"Still 6.3 per cent down on the peak enjoyed in early 2022 when official interest rates were… 0.1 per cent."	Opportunity cost of policy shifts	Monetary tightening reduced incomes to control inflation, showing the trade-off between **price stability** and **economic growth** in the short term.
"Federal government stimulus payments and withdrawals from superannuation accounts also swelled incomes."	Fiscal and monetary policy coordination	This illustrates how fiscal stimulus can complement monetary easing to accelerate progress towards **economic growth** and **employment** objectives.

“Americans’ disposable income has climbed by 6.5 per cent since early 2022, while… British households [rose] by 3.7 per cent.”	International economic comparison	Comparing income growth shows differing success in achieving **economic growth** and **living standards** objectives, highlighting the varying effectiveness of monetary policy in different economies.